

SEVEN-G (Seven-Phase Enterprise Value & Governance Framework for AI)

Document 1 – Foundational Methodology

1. Introduction

Organizations are rapidly adopting AI technologies under strong competitive pressure. Most initiatives fail to generate sustained value due to fragmented ownership, weak governance, uncontrolled risk, and premature technical focus. Typical approaches prioritize experimentation over value, prototypes over production, and intelligence over accountability.

SEVEN-G is designed to provide a disciplined, auditable, and value-driven framework that governs AI initiatives from conception to long-term operation, ensuring that AI delivers measurable enterprise value under explicit governance and risk control.

2. Foundational Principles of SEVEN-G

Value before Intelligence: AI must serve explicit business value, not technological curiosity.

Governance is not optional: Every AI system is a decision system and must be governed accordingly.

Stage-Gate with Reversibility: All decisions are reversible until production evidence proves otherwise.

Risk is systemic, not episodic: Risks evolve continuously and must be monitored throughout the lifecycle.

Production is the only source of truth: Only real-world usage validates AI value and behavior.

AI systems must evolve or die: Continuous improvement is mandatory to avoid model decay.

3. Overview of the SEVEN-G Cycle

SEVEN-G follows an iterative Stage-Gate approach. Each phase ends with a formal Gate decision: Validate, Iterate, Pivot, or Stop. Feedback loops connect operational data back into earlier phases, ensuring continuous learning and adaptation.

4. The Seven Phases of SEVEN-G

Phase 0 – Context & Constraints Definition: Define strategic objectives, regulatory constraints, and boundaries.

Phase 1 – Opportunity Discovery: Identify AI-suitable business opportunities.

Phase 2 – Value Hypothesis: Formulate measurable value hypotheses.

Phase 3 – Feasibility & Risk Gate: Validate technical, economic, and risk feasibility.

Phase 4 – Solution Design: Architect the AI solution and governance mechanisms.

Phase 5 – Delivery & Validation: Build, deploy, and validate in production.

Phase 6 – AI Ops & Governance: Operate, monitor, and govern the AI system.

Phase 7 – Feedback, Iteration & Scaling: Optimize, scale, or retire based on evidence.

5. Roles and Responsibilities

AI Sponsor: Strategic accountability and funding authority.

AI Product Owner: Value realization and backlog ownership.

AI Technical Owner: Architecture, models, and data pipelines.

AI Risk Owner: Risk identification, mitigation, and reporting.

AI Operations Owner: Production reliability and monitoring.

AI Auditor: Independent assurance and compliance validation.

6. Role Incompatibilities and Separation of Duties

Separation of duties prevents conflicts of interest, reduces systemic risk, and ensures objective decision-making. For example, the AI Technical Owner must not act as AI Auditor. Failure to enforce separation leads to unchecked bias, risk concealment, and regulatory exposure.

7. Risk Management in SEVEN-G

Risk management is continuous and covers Strategic, Technical, Data, Economic, Legal/Compliance, Organizational, and Reputational risks. Mitigation reduces likelihood or impact; contingency prepares response if mitigation fails. A standardized risk matrix is mandatory for all initiatives.

8. Methodology Versions

SEVEN-G Lite: For low-risk, exploratory initiatives with reduced formalism.

SEVEN-G Enterprise: Full governance for regulated or mission-critical systems.

9. SEVEN-G Maturity Model

Level 0 (Ad-hoc) to Level 5 (Optimized & Autonomous). Each level is measured via observable metrics: governance coverage, risk controls, production stability, and value realization.

10. Conclusion

SEVEN-G enables controlled, value-driven AI adoption. It should not be used for purely academic experimentation. Recommended next steps include formal adoption, role assignment, and pilot execution.